7. Income Taxes

Income (loss) before income taxes were comprised of the following:

	2006	2005	2004
		(thousands)	
Domestic loss	$ (3,186)	$(10,671)	$ (354)
Foreign income (loss)	59,803	(40,111)	14,780
	$56,617	$(50,782)	$14,426

The income tax provision (benefit) consisted of the following components:

	2006	2005	2004
		(thousands)	
Current			
Federal	$ 87	$ (199)	$ 254
State	28	12	(836)
Foreign	7,181	(5,115)	5,152
	7,296	(5,302)	4,570
Deferred			
Federal	(4,126)	17,644	(1,031)
State	(333)	591	4
Foreign	8,461	(13,706)	(244)
	4,002	4,529	(1,271)
Income tax provision (benefit), net	$11,298	$ (773)	$ 3,299

The income tax provision (benefit) was different from the amount computed by applying the U.S. statutory federal income tax rate as set forth in the following reconciliation:

	2006	2005	2004
		(thousands)	
Provision (benefit) at U.S. statutory rate	$19,816	$(17,774)	$ 5,048
State tax net of federal benefit	(169)	(132)	18
Change in Canadian income tax rate, including impact of realizability of recorded deferred tax assets	(3,528)	(1,505)	—
Taxes on undistributed foreign earnings	5,037	(183)	1,076
Valuation allowance and other	(6,175)	22,329	(1,829)
Taxes previously provided, net	(1,599)	—	(893)
Research credits	(461)	(2,838)	(494)
Other items, net	(1,623)	(670)	373
	$11,298	$ (773)	$ 3,299

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The tax effects of significant temporary differences representing deferred tax assets and liabilities at December 31, were as follows:

	2006	2005
	(thousands)	
Pension and postretirement benefits	$ 32,803	$ 14,669
Net operating loss carryforwards	25,680	26,862
Other assets	6,015	6,378
Reforestation	2,093	2,778
Tax credits—AMT and research	623	4,415
Undistributed foreign earnings	(14,484)	(8,127)
Property, plant and equipment	(46,725)	(33,831)
Other	1,377	1,912
Net deferred tax assets	7,382	15,056
Less valuation allowance	(19,640)	(24,098)
Net deferred tax asset (liability)	$(12,258)	$ (9,042)

The most significant deferred tax assets relate to the Company's U.S. net operating loss carryforwards and its pension and postretirement benefits. At December 31, 2006, the Company had available $68.9 million of U.S. federal tax loss carryforwards expiring as follows: 2020 – $2.4 million; 2021 – $21.5 million; 2022 – $26.4 million and 2023 – $18.6 million, and state net operating loss carryforwards of $36.0 million that expire between 2015 and 2018. At December 31, 2006, the Company also had alternative minimum tax credit carryforwards of $0.6 million that may be carried forward indefinitely. The increase in deferred tax assets related to pension and postretirement benefits was primarily due to recording a $16.3 million tax benefit on the increase in the recorded pension liabilities resulting from the Company's adoption of SFAS 158.

Undistributed earnings of the Company's Canadian subsidiaries totaled $251.9 million as of December 31, 2006. Under existing U.S. income tax laws, the undistributed earnings of foreign subsidiaries are not subject to U.S. tax until distributed as dividends. Under U.S. GAAP, such distributions of future earnings can be considered part of a tax planning strategy in determining the need for and the amount of a valuation allowance for deferred tax assets only to the extent deferred income tax liabilities have been recognized for existing undistributed earnings or earnings that have been distributed in the past. Accordingly, the Company has recognized additional U.S. federal and state deferred tax liabilities on the undistributed earnings of its Canadian subsidiaries totaling $14.5 million, including an additional deferred tax liability of $6.4 million recorded in 2006, of which $4.7 million and $0.4 million were charged to the provision for federal and state taxes, respectively, and $1.3 million decreased accumulated other comprehensive income through the foreign currency translation adjustment.

The activity in the Company's valuation allowance is summarized in the following table:

	2006	2005
	(thousands)	
Beginning of the year	$ 24,098	$ —
Valuation allowance recognized		
Provision	482	22,329
Other comprehensive income	14,944	1,769
Valuation allowance released		
Provision	(6,657)	—
Halsey pulp mill sold to subsidiary	(13,227)	—
End of the year	$ 19,640	$24,098

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As of December 31, 2005, the Company established the valuation allowance based on its assessment that it was more likely than not that some portion of its deferred tax assets would not be realized. When the Company recognized the receipt of lumber import duty refunds in the fourth quarter of 2006 generating net income for the year, the resulting tax effect was partially offset by the release of all of the valuation allowance recorded in the current year through the third quarter and $6.7 million of the valuation allowance recorded in the prior year. The Company recorded an increase of $14.9 million to the valuation allowance affecting accumulated other comprehensive income, substantially all of which was due to the Company's adoption of SFAS 158 and recognition of the tax benefits for the increase in recorded pension liabilities.

On June 28, 2006, in conjunction with the repayment and termination of the Company's Halsey pulp mill lease financings, the Company sold its Halsey manufacturing assets to its wholly-owned Canadian subsidiary, Pope & Talbot Ltd. (Limited), in a transaction that generated approximately $13.0 million of taxable gain for U.S. federal and state income tax purposes. This gain will be offset by current U.S. losses and by net operating loss carryforwards that otherwise would have expired in 2012 and 2020. Due to the inter-company nature of the sale, the tax effects of the gain for book purposes were deferred and recorded as a deferred charge on the balance sheet. As the Company's U.S. deferred tax assets were subject to valuation allowances at the time of the sale, $13.2 million of valuation allowance was released to the deferred charge, eliminating it, with no benefit to the tax provision at the time of the sale. Limited realized a $35.7 million increase in the tax basis of the Halsey manufacturing assets, which will be recognized over their estimated 14 year average book life. The difference between the increase in basis and the tax gain recognized was due to the Halsey mill sale/leaseback transaction having been previously reported as taxable income at lease inception. To the extent that Limited is able to benefit from the depreciation deductions related to the increased basis in Canada, the Company's tax provision will benefit over time by an aggregate amount approximately equal to the $13.2 million release of valuation allowance. During 2006, with the recognition of the duty refunds, Limited realized $0.5 million of this benefit through the tax provision.

In December 2005, the Company sold its Spearfish manufacturing assets to its wholly-owned Canadian subsidiary, Pope & Talbot, Ltd., in a transaction that generated approximately $21.0 million of taxable gain for U.S. federal and state income tax purposes. This taxable gain was offset by U.S. net operating loss carryforwards that otherwise would have expired in 2011 and 2012, resulting in a $7.6 million decrease in the Company's balance of U.S. deferred tax assets. Because of the inter-company nature of the sale, the $7.6 million in income tax expense for book purposes was deferred and recorded as a deferred charge on the balance sheet as of December 31, 2005. This deferred charge is being amortized over the book lives of the Spearfish assets, which is estimated to be approximately 10 years. The sale also resulted in a $21.0 million increase to the tax basis of the assets for Limited, which will be recognized over the estimated average book lives of the Spearfish assets. As this benefit is expected to substantially offset the annual amortization of the deferred charge, this transaction is expected to result in an overall minimal effect on the Company's earnings over time while effectively utilizing U.S. deferred tax assets in 2005.

The net deferred income tax assets (liabilities) include the following components in the consolidated financial statements:

	2006	2005
	(thousands)	
Deferred taxes:		
Current assets	$ 3,431	$ 5,930
Noncurrent assets	70,222	57,388
Total deferred tax assets	73,653	63,318
Valuation allowance	(19,640)	(24,098)
Net deferred tax asset	54,013	39,220
Noncurrent deferred tax liabilities	(66,271)	(48,262)
Net deferred tax liability	$(12,258)	$ (9,042)

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During 2006, the Company settled its 2001 and 2002 Canadian income tax obligations, without an adverse impact, and released $1.6 million of previously established tax liabilities for potential tax assessments. The Canada Revenue Agency is currently reviewing the 2003 and 2004 tax years. The results of this examination are unknown at this time; however, the Company believes the provisions for income taxes for all open years are adequate.